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2021 Compensation Package Supplement

Confidential Bonus Program for Karen Craft

Your 2021 bonus plan will consist of operational, administrative and financial goals designed to improve the company's productivity, the management team's ability to understand and manage the business and to align management goals with the company's strategic vision. There will also be an opportunity to increase your compensation by achieving as many as six (6) value-added goals. These are covered in detail on page 4.

A. Operational Goals

- 1) The competitive landscape is evolving quicker than ever. It is critically important to our future to stay abreast of the latest efforts being developed for the Johnstone stores. Many of these efforts will result in improved cost management, improved customer service, better reporting, and greater productivity. As you know DDI's Inform software is the engine running most everything we do. There are at least three areas where operational or system improvements can have a positive impact on our business.
 - a) Upgrade Inform to V22 by the end of Q2 2021. Be in a position to consider upgrading to V23 within three months of availability. **(3%)**
 - b) Implement a procedure for periodic audits of consignment warehouse inventory compared to reserved inventory levels as an ongoing verification that branches are paying attention to their consigned customers' inventory. **(2%)**
 - c) Implement Inform WMS by YE 2021. **(50% total)**

This will be a multiphase project that will entail several steps including:

- i. Research WMS systems in general to achieve a deeper knowledge of how different WMS systems achieve greater productivity in distribution. **(1%)**

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- ii. Review Inform Knowledgebase documentation on the subject of WMS. **(1%)**
 - iii. Assist Mike helping him to complete his warehouse Bin mapping project for both branches. Output should include the completed development of a WMS-friendly bin nomenclature document and accurate physical maps of our warehouse and showroom layouts. **(2%)**
 - iv. Assist Mike helping him coordinate with the branches to transition to the new bin location scheme, uploading data and re-labeling existing fixtures. Work with industry-specific storage, shelving and/or merchandising suppliers to acquire permanent way-finding signage for installation into our warehouse and showroom (Note: consider reaching out to other Johnstone stores or to one of our distribution centers for ideas and guidance). **(2%)**
 - v. Develop an Implementation Plan document with milestones including the documentation of current workflows in both branches. **(10%)**
 - vi. Identify and document incremental equipment and software needs and costs. **(2%)**
 - vii. Develop a WMS staff training plan that encompasses all user types (warehouse staff, counter staff, branch administration, etc.). **(10%)**
 - viii. Go live. **(15%)**
 - ix. Post implementation follow-up and support training including the creation of written procedures needed to support ongoing queries and on-boarding new employees. **(7%)**
- 2) Hookshot, formerly MITS, is a data analytics package and a software platform that DDI has chosen to integrate into Inform. Unfortunately, it has been underutilized by our company since its implementation nearly five years ago. Part of the problem has been little focus on user training and a poor understanding of what is possible with the tool. Management dashboards had been created to track KPIs and other key trend data, but with little knowledge of how to update, manipulate, change or add to the information displayed these tools largely fell into disuse. No dashboards were ever created for the sales team other than for their manager. The expected goal is for users to become

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reliant on Hookshot reporting and dashboards to help them stay on top of their goals and to troubleshoot potential issues. Documentary evidence will need to be provided to support achievement of this goal. Review and effort in the following areas will likely help you achieve this goal: **(25%)**

- a) Review and clean up the report and dashboard libraries in MITS Discover.
- b) Work with White Cup to ensure that we have subscribed to all available data cubes.
- c) Updated dashboard/report development and training for the management team and sales team.
- d) Repair any known issues with user access privileges to Inform reporting. It appears that not all users that should have comparable access privileges do.
- e) Currently the BI Vendor information that is available in Inform is not currently mapped into MITS for use in purchase history analysis. This is a critical field that branch manager's use for vendor forecast analysis and tradeshow purchase review.
- f) Understand how to use MITS Report to further automate our operations. Up to this point this has been a completely unused feature of the MITS package.
- g) MITS training and conference attendance.

B. Administrative Goals

- 1) Assist George in the development of his Counter Sales Onboarding program. This has been a significant goal for George in 2020 and again this year. The development, if done correctly, should accelerate the time it takes to bring a new employee up to full speed. This is an HR initiative that should work for both branches. You need to estimate the current ROI of recent hires as a baseline for development of this program, with the ultimate metric being to improve onboarding ROI.

As mentioned in George's Bonus program, computer navigation skills, telephone and email etiquette, facility with the Inform software are as important if not more so than knowledge of daily and weekly workflows of branch operations. Developing a training track using JU Online will also be an important component of a complete onboarding effort. Johnstone Corporate has developed a lot of programming to assist in this regard so that one needn't start from scratch. Ideally, your bonus opportunity is met by demonstrating that

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we have developed a great program for use by either branch and we have achieved a significant improvement in onboarding ROI. **(20%)**

The achievement of all goals listed above represents your total core bonus opportunity for 2021. Note that these goals are not ordered relative to their significance to the Company. **The maximum core bonus for which you are eligible is \$12,000.** The weighting of each goal (noted as a percentage out of 100%) determines what percent of the total core bonus each goal is worth. You will have an opportunity to increase your overall bonus by successfully completing up to six (6) value-added goals.

C. Value-Added Goals

A portion of your bonus compensation will be tied to the completion and proper reporting of the following six (6) activities. Each is worth a 3% increase to the final calculated core bonus. **Maximum value-added bonus opportunity will be \$2,160.**

- 1) You must complete nine (9) hours of industry-specific training and participate in systems-specific training offered by White Cup and DDI during the calendar year. These hours can be fulfilled through JU Online courses, off-site vendor training or through participation in other Johnstone University programming. Excluded activities include JU Online monthly quizzes, factory tours, semi-annual Johnstone meetings, DDI and HARDI conferences and Continuing Professional Education.
- 2) Our Allworx phone system needs some housekeeping. Specifically, we need an improved naming convention for the handsets, a review and documentation of ring protocols and maintenance of custom recordings. Work with NFP Telecom to address these matters.
- 3) Take over the Allworx managed duties of branch on-call phone number changeovers and annual holiday date management. I have written up procedures for these to assist you.
- 4) Implement a company-wide password management system using 1Password.
- 5) Work with Comtec's Nathan Ingerson, Director of IT, to develop an Apple Macintosh training program for any employee using Macintosh hardware including laptops, iPhones and iPads. Training should include basic navigation functionality of the Apple OS environment as well as leveraging tools that will integrate with the iOS platform. The goal is to increase user productivity, data management and data security.

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- 6) Participate in 2021 HARDI Compensation Survey and Annual Benchmarking Program (DPD).

A value-added goal must be completed in its entirety to earn your full potential bonus. These activities reflect the company's dedication and investment in you to continuously look for ways to improve knowledge and capability. Growth by our employees grows our business and makes us all more profitable!

Before you sign off on this plan, please carefully review your entire compensation plan for 2021 and understand that all bonus payouts require you to be in the employ of Johnstone Supply during the entire period being measured. For example, if your bonus compensation is annual, then you must be in the employ of Johnstone Supply as of 12/31 of the year for which the bonus applies.

Plan Accepted by _____  Date 3/18/21

Supervisor KRS  Digitally signed by Ken Livingston, President
Date: 2021.03.25 17:23:00
_____, President -04'00' Date _____

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